derogatory language about judicial behaviour amount to Contempt of Court.

Reason (R) : Judicial activism cannot be practiced with arming the judiciary with punitive powers to punish contemptuous behaviour.

In the context of the above two statements, which one of the following is correct?

(a) Both A and R are true and R is the correct explanation of A

(b) Both A and Ra re true but R is not correct explanation of A

(c) A is true, but R is false.

(d) A is false, but R is true.

Ans. (b) : Assertion and Reason as independent statements are true but does not explain each other.

73. The Dinesh Goswami Committee recommended:

(a) The constitution of state level election commission

(b) List system of election to the Lok Sabha

(c) Governmental funding of parliament elections

(d) A ban on the candidature of independent candidates in the parliamentary elections

Ans. (c) : Dinesh Gosami committee report, 1990 is associated with electoral reform in India. It focused mainly on the role of money and muscle power at elections, rapid criminalization of politics and also it recommended governmental funding of parliament elections.

ECONOMY

74. The economic and monetary union of 15 European countries is proposed to be made by 1999. But the currencies of two countries, Franc, have already the same value and circulate freely in both the countries. The countries are:

(a) France and Switzerland

(b) Switzerland and Luxembourg

(c) Luxembourg and Belgium

(d) France and Belgium

Ans. (c) : Luxembourg and Belgium are the two countries where 'Franc' is the currency, having same value and is in free circulation. In 2002, it was replaced by Euro.

75. The average rate of domestic savings (gross) for the Indian economy is currently estimated to be in the range of:

(a) 15 to 20 percent (b) 20 to 25 percent

(c) 25 to 30 percent (d) 30 to 35 percent

Ans. (c) : As per world banks national account data, India's average domestic saving rate was 25.059% of GDP, but in 2007 it was 34.377% and in 2020 it was 28.349% of GDP. So correct option for both 1997 and 2020 will be (c).

76. The number of industries for which industrial licensing is required has now been reduced to:

(a) 15 (b) 6

(c) 35 (d) 20

Ans. (a) : In the new industrial policy announced on July 24, 1991, the number of industries for which it was mandatory to take license was 18. Again, with the elimination of the requirement of license for 3 other industries, the number of industries requiring license was reduced to 15 before November 13, 1996. At present the number of such industries is reduced to 5.

These 5 industries are as follows:

1. Aerospace and defence related electronics
2. Gun powder, industrial explosives and detonating fuse.
3. Dangerous chemicals
4. Tobacco, cigarette and related products
5. Alcoholic drinks.

77. The sum of which of the following constitutes Broad Money in India?

1. Currency with the public.

2. Demand deposits with banks.

3. Time deposits with banks.

4. Other deposits with RBI.

Choose the correct answer using the codes given below:

(a) 1 and 2 (b) 1, 2 and 3

(c) 1, 2, 3 and 4 (d) 1, 2 and 4

Ans. (b) Narrow money is the most liquid part of the money supply because the demand deposits can be withdrawn anytime during the banking hours. Time deposits on the other hand have a fixed maturity period and hence cannot be withdrawn before the expiry of this period. When we add the time deposits into the narrow money, we get the broad money, which is denoted by M3. M3 = Narrow money + Time Deposits of public with banks. We note here that the Broad money does not include the interbank deposits such as deposits of banks with RBI or other banks. At the same time, time deposits of public with all banks including the cooperative banks are included in the Broad Money.

78. According to the latest census figures sex ratio in India is :

(a) declining (b) stable

(c) increasing (d) fluctuating

Ans. (a) : Option (a) was the correct answer at the time when question was asked an increase of 10 points has been recorded in the sex ratio/sex ratio between 2001 and 2011.

79. Match List-I with List-II and select the correct answer:

List-I (Committees)	List-II (Chaired by)
A. Disinvestment of shares in Public Sector Enterprises	1. Rajah Chelliah
B. Industrial Sickness	2. Onkar Goswami
C. Tax Reforms	3. R. Malhotra
D. Reforms in Insurance Sector	4. C. Rangaraja

Codes:

	A	B	C	D
(a)	1	4	2	3
(b)	4	2	1	3
(c)	4	1	2	3
(d)	1	3	4	2

Ans. (b) : Chelliah Committee on Tax Reforms – 1993 Omkar Goswami Committee on Industrial Sickness – 1994.

Rangarajan Committee on Disinvestment of Shares in PSUs – April 1993.

RN Malhotra Committee on Reforms in Insurance Sector – 1993

80. Human Development Index comprises literacy rates, life expectancy at birth and:

(a) Gross Domestic Product per head in the US dollars

(b) Gross Domestic Product per head at real purchasing

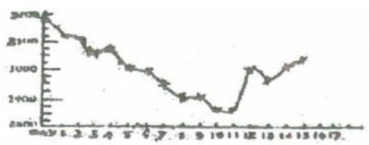
(c) Gross National Product in US dollars

(d) National Income per head in US dollars

Ans. (d) : HDI is a statistical tool which measures the country's overall achievement in its socio-economic dimension. It is being prepared and published by the United Nations Development Programme.

The basic components of HDI are Health (longevity of life), Education and living standards (Gross national income per capita).

81. Consider the following graphs:



The behaviour of a fictitious stock market index [comprising a weighted average of the market prices of a selected list of companies including some multinational corporations (MNC's) over a 15 day period is shown in the graph. ?the behaviour of the MNC's in the same period is also shown in the second graph. Which one of following is a valid conclusion?

(a) MNC's fell steeper in the period depicted

(b) Share prices of every non-MNC company soared by over 5% on the 12th day

(c) Government announced a police disfavouring MNC's on the 11th day

(d) Whatever be the reason favouring market revival on the 12th day. It appears to be relevant only to non-MNC companies.

Ans. (d) : In the context of the question, option (d) whatever the reason may have been in favour of market resurgence on the 12th day, which appears to be relevant only to non-MNCs, would be a meaningful conclusion.

82. Match List-I with List-II and select the correct answer:

List-I (Commodities exported from India)	List-II (Countries of destination)
A. Iron Ore	1. Russia
B. Leather goods	2. U.S.A.
C. Tea	3. Japan
D. Cotton fabrics	4. U.K.
	5. Canada

Codes:

	A	B	C	D
(a)	5	1	2	3
(b)	3	1	4	2
(c)	1	5	4	3
(d)	3	4	1	2

Ans. (b) : Iron ore from India is exported to Japan. The largest export of tea, to leather goods, is in the UK. (Islands of England) and cotton fabrics are mainly exported to the United States of America.

83. In India, inflation is measured by the:

(a) Wholesale Price Index number

(b) Consumers Price Index urban non-manual workers

(c) Consumers Price Index for agricultural workers

(d) National Income Deflation

Ans. (a) : Inflation is measured by general price coordinate. Price coordinates measure changes in the average prices of goods. The base year's coordinate is assumed to be 100 and in comparison the current year's coordinate is calculated. If the current year's coordinate is less than 100, it shows a decrease in prices and if the current year's coordinate is more than 100, it shows an increase in prices. Since there is an inverse relationship between the value of money (purchasing power of